

1. Concentration

In May of 2025, Morgan Stanley noted that the US stock market was becoming increasingly concentrated with massive tech companies. They reported that “Just 10 Stocks made up 36% of the U.S. Market at the end of 2024,” and that the top 10% of S&P 500 stocks represented over 50% of the total weight of the index by 2025.

This problem has not gone away and instead has gotten worse. According to the S&P Dow Jones, in August 2026, the top 10 stocks now represent 37.8% of the index, which is a 1.8% percentage-point increase.

This change supports Morgan Stanley’s claim in the first article that passive investors may benefit by shifting towards a more active investment strategy to combat market volatility and high concentration. Many passive investors opt to invest in index-tracking ETFs, and now that several major index funds are being dominated by large tech/AI companies, many passive investors are more vulnerable to changes in that industry. Despite this, concentration by itself doesn’t prove that passive investing is becoming less effective, because alternatives exist such as ETFs that track index funds that don’t weigh those tech/AI companies as heavily.

2. SPIVA Evidence

Morgan Stanley had a strong argument at the beginning of 2025, with its report that showed that “For the first three months of 2025, 60% of U.S. large-cap managers outperformed the S&P 500,” arguing that volatility created opportunities for active investors, but the full year results showed essentially the complete opposite. SPIVA found that “79% of active large-cap U.S. equity funds underperformed the S&P 500 in 2025,” which was the fourth-worst year in SPIVA’s entire history (over 25 years) of tracking that data. This same report found that dispersion was the highest it’s been since 2009, which means that despite both conditions that Morgan Stanley claimed should favor active management being present (high volatility and high concentration), more active-cap investors than usual failed to beat the market.

Unlike In the data analyzing large-cap equity funds, SPIVA actually did find that only 41% of small-cap funds underperformed in 2025. Mid-cap managers also did better than large cap managers. This suggests that active management might make more sense in selected and possibly less efficient parts of the market. Overall it does seem that SPIVA weakens Morgan Stanley’s claim that high volatility and dispersion will result in a better outcome for active investors.

3. What institutions are doing

The Schroders survey shows that large investors are taking the concentration and volatility risk very seriously. The data showed that “79% of North American institutional investors believe the next 12 months will hold more market volatility than the previous year,” and “nearly four in ten (39%) North American institutional investors say they are increasing allocation to active management specifically to reduce concentration risk.” This strengthens the case for active management because experienced investors are clearly taking steps to weigh

massive tech stocks less to protect themselves from the downside potential. At the same time, this survey measures investor beliefs/behavior and not actual performance. While this survey does provide insight into what investors are doing, it doesn't reflect whether or not those actions led to a good outcome, which is why I wouldn't weigh it as heavily as the SPIVA data in this analysis.

4. The macro picture

The macro environment gives Morgan Stanley's argument more credibility than it would have during a low-volatility market. First, inflation is still elevated. U.S. CPI increased 3.4% from 2025 to 2026, while core inflation was 2.4%. The OECD also explains that the middle east conflict is causing an energy shock that is raising inflation and hurting global economic growth. The OECD even projected (under a time-limited scenario) that G20 inflation would rise to as high as 4% in 2026, with even higher inflation if the disruption continues. Additionally, inflation rates also remain high. The federal reserve even raised the target federal funds range by 0.25% up to 3.75%-4%, meaning that inflation stayed elevated during this period of political uncertainty. Both higher rates and political uncertainty have evidently increased market volatility. Firms with heavy borrowing needs or weak margins may respond very differently from firms with strong cash flows and pricing power. This creates a potentially better environment for picking investments compared to a low interest-rate/low-volatility environment where passive large-cap ETFs tend to be more successful.

I recommend that US institutional investors should blend active and passive investing, with a larger allocation in passive investments. The passive portion preserves the benefits such as broad exposure, low fees, and difficult benchmark to beat consistently, while the active portion allows the institutions to reduce its concentration in mega-cap companies and take advantage of the investment opportunities that can be created by a more volatile market. I would be especially selective of where the active allocation goes. As shown in the SPIVA data, large-cap managers consistently struggle to outperform the S&P, compared to small and medium-cap managers who tend to do much better.